CHAPTER 8

BE AT ONE WITH THE COMMUNITY

> Only some brands become icons. Revered by their core customers, icons have the power to maintain a firm hold in the marketplace for many years. Icons succeed because they forge a deep connection with the prevailing culture.
>
> (Douglas Holt quoted in Drummond 2008, p. 18)

CHATEAU MARGAUX'S COWS

One can't help but be entranced by *Chateau Margaux*. The estate grounds and signature building are simply stunning. The walk (or drive) down the tree-lined driveway is simply romantic. And the wine – well if you can get it, it's to die for. The wine itself is a product of place – both of the area 'Margaux', the unique topography of the estate itself, and centuries of estate and Bordeaux winemaking tradition. The brand is much more than this. No discussion of wine history can be had without mentioning the wines of Bordeaux, the *1855 Bordeaux Classification* (which gave *Chateau Margaux* Grand Cru status), the Grand Cru Estates (of which *Margaux* is one of just five), and the wines themselves. Quite simply, for wine lovers, it is impossible to imagine a wine world without *Chateau Margaux* given that the estate is so embedded in the shared history of the wine trade. Much of the authenticity of the brand comes from its connection to time, place, and culture.

Chateau Margaux takes its connection to place more seriously than many other wineries. Estate manager Paul Pontallier and his staff intimately know the potential and challenges of each part of the vineyard. The vineyard itself has been scientifically mapped so the winemaking

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team can gain the very best from the estate even in difficult years. When one tours the estate or reads interviews with Pontallier in the press, the synergy between the land, the Bordeaux culture of wine-making, the creative team, and the history of the wine is made very clear. *Margaux* is a 'complex' wine that takes time to show its considerable charms (much like the development of the 600-year brand itself). Although many in the wine world remain cynical about the link between place and wine style, you cannot doubt the integrity of *Chateau Margaux*'s commitment to place given they even have their own herd of cows to ensure even the fertilizer is local.

AUTHENTICITY IS LOCAL (EVEN WHEN THE BRAND IS GLOBAL)

> I think there are big cultural issues there that are just not well understood. For example the Americans think everyone has a zip code […] they were a little late in entering and then they launched in US dollars. (Sam Morgan, founder of *TradeMe*, quoted in MacManus 2006)

One of the successes of the Internet boom of the 1990s is *eBay*. The electronic marketplace has spread from the US to encompass many parts of the globe. And in most cases, *eBay* has become the dominant (or only) site of its kind in each country in which it is based (although the site would seem to be placeless for consumers, users understand that there are separate sites for different countries). One place where *eBay* barely registers is New Zealand. Despite being early adopters of e-technology and avid traders, New Zealanders have spurned global *eBay* for local *TradeMe*. Part of this success can be attributed to *TradeMe*'s first mover advantage. However, much of the brand's success is because it's local. While *eBay* New Zealand insists locals use US dollars, *TradeMe* allows Kiwis to use their own currency (avoiding excessive bank charges and problems associated with the regular swings in the US/NZ exchange rate) and is based on direct debits into bank accounts. Seller listing fees are negligible when compared to *eBay* and the site is easier to use.

Although these advantages were crucial to the early success of the brand, *TradeMe*'s local status has become more symbolic over time. Local wiz-kid entrepreneur Sam Morgan founded the firm during the Internet boom. New Zealand has a history of using technological innovation to compete in the marketplace and Sam Morgan's convention